GRADE 10 / Economics / English

Follow the circular flow

01 Understand

Learning goals: Identify households and firms • Distinguish real and money flows • Explain a simple interdependence

In a simple closed two-sector model, households supply factors of production and firms produce goods and services.

Factor payments such as wages flow from firms to households. Consumption spending flows from households to firms.

Real flows and money flows move in opposite directions. This simplified model excludes government, financial and foreign sectors; real economies include them.

Two markets connect households and firms

Market	Real flow	Money flow
Factor market	households → firms: labour	firms → households: wages
Goods market	firms → households: products	households → firms: spending

02 Follow the reasoning

A learner’s household earns R4 000 from a bakery and spends R600 on bread. Identify the flows.

1. Labour supplied to the bakery is a real factor flow from household to firm.

2. The R4 000 wage is a money flow from firm to household.

3. Bread moves from firm to household, while the R600 spending moves in the opposite direction.

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Practise with purpose

03 Try before checking

Use paper or your notebook. Show your reasoning. For written responses, use evidence and explain your choices. Suggested time: 15–20 minutes.

1. Name two factors of production besides labour.

2. Is a wage a real flow or a money flow?

3. Explain why lower household spending may affect firms.

04 Check and correct

1. Land, capital or entrepreneurship; any two.

2. A money flow: payment for labour.

3. It can reduce firms’ sales revenue, which may affect production and demand for factors.

Common mistake to avoid

In economics, capital as a production factor means produced tools and equipment, rather than simply any cash balance.

Reflect and revisit

Identify one correction in your own words. Attempt a similar question tomorrow without looking at the guide. If you are still unsure, take your attempt to a teacher or tutor.

Coverage and sources

CAPS topic focus: Macroeconomics: circular flow and economic participants

DBE CAPS, Grades 10–12: Economics. Section 3 content and skills. This is a focused supplement, not a complete syllabus or prescribed literature replacement.

Open the official DBE curriculum reference

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